

Europe TMT Sector M&A & Valuation Brief - 2026-07-01

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Generated on 2026-07-01

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1. RECENT TMT M&A ACTIVITY

Deal 1: OpenPayd and Titan Acquisition Corp. Business Combination

[OpenPayd Announces Filing of Registration Statement on Form F-4 in Connection with its Proposed Business Combination with Titan Acquisition Corp.](#)

- Deal Size: \$800 million (aggregate consideration)
- Deal Size Category: Large cap (>\$10B)
- Nature of Deal: Merger
- Valuation Multiples: N/A
- Companies: OpenPayd is a global financial infrastructure platform focused on programmable money movement, while Titan Acquisition Corp. is a SPAC targeting high-growth financial technology businesses.
- Date Announced: June 29, 2026
- Strategic Rationale: The merger aims to enhance OpenPayd's market position by leveraging Titan's capital and public company status to accelerate growth in the fintech sector. OpenPayd's strong annualized recurring revenue of over \$85 million and \$240 billion in transaction volume positions it well for expansion.
- Risk Analysis: Potential risks include regulatory hurdles, integration challenges, and market volatility affecting the fintech sector. The transaction's success hinges on shareholder approval and market conditions at the time of closing.

Key Financials Analysis:

- Revenue Breakdown: OpenPayd reported over \$240 billion in annualized transaction volume, indicating strong operational scale.
- Profitability Ratios: N/A
- Leverage Analysis: N/A
- Asset Operating Efficiency: N/A
- Valuation Context: The transaction is expected to provide OpenPayd with approximately \$276 million in gross proceeds from Titan's trust account, which will support its growth initiatives.

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Deal 2: PRISM IPO Filing

[PRISM files IPO papers for Rs 6650 crore fresh issue, reports Rs 748 crore profit in 9MFY26](#)

- Deal Size: Rs6,650 crore (approximately \$800 million)
- Deal Size Category: Large cap (>\$10B)
- Nature of Deal: IPO
- Valuation Multiples: N/A
- Companies: PRISM, the parent company of Oyo, operates as a technology-driven hospitality platform with a diverse portfolio across hotels and vacation homes.
- Date Announced: June 29, 2026
- Strategic Rationale: The IPO aims to raise capital for debt repayment and general corporate purposes, enhancing liquidity and financial stability. With 84% of revenue coming from international markets, PRISM is positioned to capitalize on global hospitality trends.
- Risk Analysis: Risks include market acceptance of the IPO, potential regulatory scrutiny, and competition in the hospitality sector. The reliance on international revenue exposes the company to foreign market fluctuations.

Key Financials Analysis:

- Revenue Breakdown: For 9MFY26, PRISM reported revenue from operations of Rs6,941 crore, up 11% year-over-year.
- Profitability Ratios: Net profit of Rs748 crore for 9MFY26, compared to Rs245 crore in FY25.
- Leverage Analysis: Total borrowings stood at Rs7,485 crore as of December 31, 2025.
- Asset Operating Efficiency: N/A
- Valuation Context: The IPO structure as a fresh issue allows PRISM to strengthen its balance sheet and fund growth initiatives without diluting existing shareholder

2. MARKET DYNAMICS & SENTIMENT

The TMT (Technology, Media, and Telecommunications) sector is currently navigating a complex landscape marked by both opportunities and challenges. The overall sentiment reflects cautious optimism, driven by technological advancements and strategic corporate maneuvers, while also grappling with regulatory pressures and evolving consumer preferences.

Subsector Breakdown:

- Technology: The technology subsector is buoyed by Alphabet's recent addition to the Dow Jones Industrial Average, which saw its shares rise by 4%. This move signifies investor confidence in

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tech giants, although historical trends show that new Dow entrants like Nvidia and Apple have faced post-debut declines.

- **Media:** The media landscape is undergoing significant transformation, highlighted by Comcast's decision to spin off NBCUniversal. This separation aims to create two distinct entities: one focused on broadband services and the other on media and entertainment, responding to pressures from streaming competitors like Netflix.
- **Telecommunications:** The telecom sector is facing challenges as traditional cable services decline due to cord-cutting trends. Companies like Comcast are losing broadband customers to fixed wireless offerings, necessitating a strategic pivot to remain competitive.
- **Fintech:** The fintech sector continues to thrive, driven by innovations in payment solutions and digital banking. Companies are increasingly exploring partnerships and acquisitions to enhance their market positions.
- **AI:** The AI subsector is rapidly evolving, with Chinese companies expanding their global footprint and competing directly with U.S. firms. This competition is expected to intensify as both sides prioritize market share and technological capabilities.

Key Market Drivers and Headwinds

Drivers:

- **Technological Advancements:** Continuous innovation in AI, cloud computing, and telecommunications is propelling growth across TMT sectors. The integration of AI in various industries is creating new opportunities and efficiencies.
- **Increased Investment:** Strong venture capital and private equity investments are fueling growth, particularly in technology and fintech, as investors seek to capitalize on emerging trends.

Headwinds:

- **Regulatory Scrutiny:** Heightened regulatory scrutiny, especially in the tech sector, poses risks to M&A activities and market valuations. Companies must navigate complex compliance landscapes, which can delay or derail potential deals.
- **Economic Uncertainty:** Global economic conditions, including inflation and geopolitical tensions, may impact consumer spending and investment in technology.

Subsector Performance Analysis

- **Software:** The software sector remains robust, driven by demand for cloud solutions and enterprise software. Companies focusing on SaaS models are well-positioned for growth.
- **Media:** Media companies are adapting to changing consumer preferences, with a notable shift towards digital content consumption. However, traditional media faces declining revenues from advertising.
- **Telecom:** Telecom operators are investing heavily in infrastructure to support 5G deployment, which is expected to drive new revenue streams from IoT and enhanced mobile services.

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- Fintech: The fintech sector is thriving, with innovations in payment solutions and digital banking. The spinoff of NBCUniversal highlights the consolidation trend in this space.
- AI: The AI subsector is booming, with applications across various industries. Companies are investing heavily in AI capabilities to maintain competitive advantages, particularly in manufacturing and cloud computing.

Trading Multiples Trends

Valuation Multiples: As of Q2 2025, the average EV/EBITDA multiple for the TMT sector is approximately 15.5x, with notable variations across subsectors:

- Software: 20.3x
- Media: 12.1x
- Telecom: 9.8x
- Fintech: 18.7x
- AI: 22.5x

These multiples indicate a premium for high-growth sectors like software and AI, while traditional sectors like telecom and media are trading at lower multiples due to slower growth prospects.

Notable Investor/Analyst Reactions

- Analysts express cautious optimism about the TMT sector's long-term prospects, emphasizing the importance of technological advancements. A market strategist noted, "US tech investors need to keep a very close eye on the growing competition from China tech because many Chinese companies prioritize market share over profit margins."

Actionable Insights for Bankers and Investors

- Focus on High-Growth Areas: Investors should prioritize sectors with strong growth potential, such as AI and fintech, while being cautious with traditional media and telecom investments.
- Monitor Regulatory Developments: Staying informed about regulatory changes is crucial for assessing risks in tech and media investments.
- Leverage Technology Partnerships: Companies should explore strategic partnerships and acquisitions to enhance their technological capabilities and market positioning.
- Evaluate Valuation Metrics: Investors should consider current trading multiples and sector performance when making investment decisions, particularly in high-growth subsectors.

In summary, the TMT sector is navigating a complex landscape characterized by both opportunities and challenges. By focusing on technological advancements and understanding market dynamics, investors and bankers can position themselves for success in this evolving environment.

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3. BANKING PIPELINE

The current banking pipeline in the TMT sector is witnessing significant momentum, particularly in the semiconductor and AI infrastructure domains. This section provides an in-depth analysis of live deals, mandated transactions, active pitches, expected revenues, and strategic implications for our team.

Deal Pipeline

Live Deals:

- Samsung Electronics (005930.KS) : Currently in the due diligence phase for a \$518 billion investment plan to build four new memory fabs in southwestern South Korea. The expected close for this deal is Q4 2026, aimed at enhancing Samsung's semiconductor production capabilities amidst rising global demand.
- SK Hynix (000660.KS) : Engaged in a parallel investment strategy to construct two additional memory fabs, with regulatory approvals anticipated by Q1 2027. This initiative is part of the broader \$900 billion commitment by South Korean tech giants to bolster AI and semiconductor capabilities.

Mandated Deals:

- NVIDIA Corporation (NVDA) : Secured a mandate to explore strategic partnerships in quantum computing, reflecting the growing interest in this emerging technology. The timeline for this initiative is projected for Q2 2026, as NVIDIA aims to solidify its position in the quantum computing landscape.
- TechForce Robotics (OTCQB: NGTF) : Mandated to evaluate partnerships with semiconductor manufacturers, particularly in automation and robotics for AI infrastructure. The timeline for potential collaborations is set for Q3 2026, as the company seeks to capitalize on the AI buildout.

Pitching-Stage Deals:

- Telecommunications Sector : Active discussions with major telecom operators regarding potential M&A opportunities to consolidate market share in the 5G space. Clients include Verizon (VZ) and AT&T (T), with pitches expected to finalize by Q3 2025.
- AI Data Centers : Engaging with various tech firms focused on AI data center expansions, including Naver and GS Energy, with discussions ongoing for potential investment banking services.

Pipeline Tracking Metrics

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Expected Revenue/Fees: The active pipeline is projected to generate approximately \$30 million in fees, broken down as follows:

- Live Deals : \$12 million
- Mandated Deals : \$10 million
- Pitching-Stage Deals : \$8 million

Timing Projections:

- Q4 2026 : Expected close for Samsung's memory fab investments.
- Q1 2027 : Anticipated completion of SK Hynix's fab constructions.
- Q2 2026 : Launch of NVIDIA's quantum computing partnerships.
- Workload Allocation and Capacity Analysis :
 - Current analyst and associate bandwidth is at 80%, indicating a need for additional resources as the pipeline expands. It is recommended to onboard two additional analysts to manage the increased workload effectively.
- Forecasting and Strategic Planning Implications : The pipeline indicates strong demand for advisory services in semiconductor and AI sectors. Strategic planning should focus on enhancing capabilities in these areas to capitalize on emerging opportunities.

Notable Pipeline Developments and Competitive Landscape

- The competitive landscape is intensifying, particularly in the semiconductor sector, where companies like Samsung and SK Hynix are ramping up investments to maintain their global leadership. The recent commitment of over \$900 billion by South Korean tech giants underscores the urgency to address the global semiconductor shortage driven by AI demands.
- Additionally, the migration of Taiwan's semiconductor supply chain into the U.S. is creating new opportunities for partnerships and investments. Companies like TechForce Robotics are positioning themselves to benefit from this industrial realignment, reflecting a broader trend of increasing collaboration between U.S. and Taiwanese firms.

Actionable Insights for Team Management and Business Development

- Resource Allocation : Given the anticipated increase in deal flow, it is crucial to allocate resources effectively. Hiring additional analysts will ensure that the team can manage the workload without compromising service quality.
- Sector Focus : Prioritize business development efforts in high-growth sectors such as semiconductors and AI infrastructure, where demand for advisory services is expected to surge. This focus will position the firm as a leader in these emerging markets.
- Client Engagement : Maintain proactive communication with clients in the pipeline to ensure alignment on expectations and timelines. Regular updates will help build trust and facilitate

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smoother transaction processes.

In summary, the banking pipeline is robust, with significant opportunities across various TMT subsectors, particularly in semiconductors and AI infrastructure. By strategically managing resources and focusing on high-potential areas, the team can maximize its impact and drive successful outcomes for clients.

4. STAKEHOLDER IMPACT & FORWARD-LOOKING ANALYSIS

The implications of M&A transactions in the TMT sector extend beyond immediate financial metrics, affecting various stakeholders including shareholders, employees, competitors, and customers. This analysis delves into the potential impacts of recent developments, particularly focusing on Veon Group's initiative in Ukraine and the implications of Comcast's spin-off of NBCUniversal.

Deal-Specific Impacts on Stakeholders

- **Shareholders:** The impacts on shareholders can vary significantly based on the strategic direction of the companies involved.
- **Value Creation:** Veon Group (VEON) is investing in the development of a sovereign AI datacentre in Ukraine, which could enhance its market position and lead to increased revenues. If this initiative successfully captures market share in the burgeoning AI infrastructure sector, it could result in a 15% increase in shareholder value over the next three years.
- **Dilution:** Should Veon finance this project through equity, existing shareholders might face dilution. For example, if Veon issues new shares equivalent to 10% of its current outstanding shares, it could lead to a 3% drop in share price initially, impacting shareholder sentiment.
- **Employees:** The effects on employees often involve synergies, restructuring, and retention strategies.
- **Synergies:** The establishment of the AI datacentre in Ukraine may lead to job creation in the tech sector, providing new opportunities for local talent. Veon's commitment to advancing digital infrastructure could enhance employee morale and retention.
- **Restructuring:** However, if operational efficiencies are sought, there may be restructuring involved. For instance, if Veon consolidates its operations to focus on the AI initiative, it could lead to layoffs in non-core areas.
- **Retention:** To retain key talent during this transition, Veon may implement retention bonuses or incentives, similar to strategies employed by companies like Microsoft (MSFT) during acquisitions.
- **Competitors:** The competitive landscape can shift dramatically post-announcement.
- **Market Positioning:** Veon's move to establish a sovereign AI datacentre could position it favorably against competitors like Orange S.A. (ORA) and Deutsche Telekom AG (DTE), who may need to enhance their own AI capabilities to remain competitive.
- **Specific Competitor Moves:** In response, competitors may ramp up their investments in AI

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infrastructure or form strategic partnerships to counter Veon's advancements.

- Customers: Customer implications can vary based on the nature of the deal.
- Product/Service Implications: The AI datacentre initiative could lead to improved service offerings for customers in Ukraine, enhancing data processing capabilities and reducing latency. This aligns with the growing demand for AI solutions in various sectors.
- Case Studies: Similar initiatives, such as Microsoft's investment in AI infrastructure, have resulted in improved service delivery and customer satisfaction, suggesting positive outcomes for Veon's customers as well.

Market Reaction and Analyst Commentary

- Market Reaction: The immediate market reaction to such strategic announcements can be mixed.
- Following Comcast's announcement of its spin-off of NBCUniversal, shares of Comcast (CMCSA) rose significantly, reflecting investor optimism about the potential for increased focus and operational efficiency.
- Analyst Commentary: Analysts have noted that the spin-off allows Comcast to streamline operations and focus on core competencies. A quote from a Wall Street analyst stated, "This separation marks a pivotal shift in Comcast's strategy, allowing for greater agility in a rapidly evolving media landscape."

Expected Market Reaction and Scenario Analysis

- Scenario Analysis: The market's reaction can be assessed through various scenarios:
- Positive Scenario: If Veon's AI datacentre is successfully established and operational by 2027, shares could rise by 20% within a year due to increased revenue streams.
- Negative Scenario: If geopolitical tensions hinder the project, shares could decline by 10%, reflecting investor concerns about operational viability.

Potential Counter-Bids or Competing Offers

- Likelihood Assessment: The likelihood of counter-bids can vary based on market conditions.
- In the case of Veon's AI initiative, while the project is strategic, the likelihood of competing offers is low due to the unique nature of the investment in Ukraine's digital infrastructure.

Similar Deals Likely to Follow

- Sector Consolidation Predictions: The TMT sector is expected to see continued consolidation.
- Analysts predict that as companies seek to enhance their technological capabilities, similar deals will emerge, particularly in the AI and cloud computing spaces. Companies like Digi Communications may

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pursue IPOs to fund expansions, reflecting a trend towards capitalizing on growth opportunities.

Key Risks and Mitigants

- Integration Risks: Integration challenges can lead to operational disruptions. Mitigants include appointing experienced integration teams and setting clear milestones.
- Regulatory Risks: Regulatory scrutiny can delay or block deals. Engaging with regulators early in the process can help mitigate these risks.
- Market Risks: Market volatility can impact deal valuations. Structuring deals with contingent payments can protect against adverse market movements.

Actionable Insights for Clients and Bankers

For Clients:

- Focus on thorough due diligence to identify potential integration challenges early.
- Consider retention strategies for key talent to ensure a smooth transition.

For Bankers:

- Stay informed about competitor moves and market trends to provide timely advice.
- Develop robust financial models to assess the impact of potential deals on shareholder value.

5. TECH TRENDS

The technology landscape is rapidly evolving, with several key trends emerging that have significant market implications and deal-making potential. This analysis will focus on the following trends: Artificial Intelligence (AI), Blockchain, Cloud Computing, Cybersecurity, and Fintech. Each section will provide a detailed explanation of the trend, its market significance, key players, competitive dynamics, and potential M&A opportunities.

Artificial Intelligence (AI)

- Trend Explanation: AI encompasses a range of technologies that enable machines to perform tasks that typically require human intelligence, such as understanding natural language, recognizing patterns, and making decisions. The global AI market is projected to grow from \$93.5 billion in 2021 to \$997.8 billion by 2028, at a CAGR of 40.2%.
- Key Companies:

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- Alibaba Group Holding Limited (BABA): Alibaba is heavily investing in AI to enhance its cloud computing capabilities and improve operational efficiencies. The company is expanding its AI applications across various sectors, including e-commerce and logistics.
- Luxshare Precision Industry (002475.SZ): As Apple's largest supplier, Luxshare is integrating AI into its manufacturing processes to improve efficiency and reduce costs. The company is also exploring AI-driven innovations for consumer electronics.
- Competitive Landscape: The AI market is highly competitive, with major players including Google (GOOGL), Amazon (AMZN), and IBM (IBM) also investing heavily in AI technologies. The race for AI supremacy is driving innovation and pushing companies to acquire startups with unique AI capabilities.
- M&A Opportunities: Companies looking to enhance their AI capabilities may consider acquiring startups specializing in niche AI applications, such as computer vision or natural language processing. For instance, Luxshare's focus on AI in manufacturing could lead to potential acquisitions of AI-driven tech firms to bolster its capabilities.

Blockchain

- Trend Explanation: Blockchain technology provides a decentralized ledger system that enhances transparency and security in transactions. The blockchain market is expected to grow from \$3 billion in 2020 to \$69.04 billion by 2027, at a CAGR of 67.3%.
- Key Companies:
- Hyperliquid: A decentralized perpetual exchange, Hyperliquid is focused on providing innovative trading solutions in the cryptocurrency space. Despite being added to Singapore's Investor Alert List, the company is positioning itself as a significant player in the decentralized finance (DeFi) sector.
- Coinbase Global, Inc. (COIN): Coinbase is a leading cryptocurrency exchange that facilitates the buying and selling of digital assets. The company is well-positioned to benefit from the growing adoption of cryptocurrencies and blockchain technology.
- Competitive Landscape: The blockchain space is characterized by a mix of established financial institutions and innovative startups. Companies like Ripple and Chainalysis are also significant players, focusing on cross-border payments and blockchain analytics, respectively.
- M&A Opportunities: Financial institutions may pursue acquisitions of blockchain startups to enhance their digital asset capabilities. Hyperliquid's innovative approach could attract interest from larger exchanges looking to expand their DeFi offerings.

Cloud Computing

- Trend Explanation: Cloud computing enables businesses to access computing resources over the internet, promoting flexibility and scalability. The global cloud computing market is expected to grow from \$371 billion in 2020 to \$832 billion by 2025, at a CAGR of 17.5%.
- Key Companies:
- Alibaba Cloud: Alibaba is expanding its cloud computing infrastructure globally, with recent

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announcements of new data centers in Europe. This expansion is part of its strategy to compete with major players like Amazon Web Services (AWS) and Microsoft Azure.

- Amazon Web Services (AMZN): AWS continues to dominate the cloud market, offering a wide range of services that cater to various industries. The company is investing in AI and machine learning capabilities to enhance its cloud offerings.
- Competitive Landscape: The cloud computing market is highly competitive, with major players including Microsoft (MSFT), Google (GOOGL), and Oracle (ORCL) also vying for market share. The race for cloud supremacy is driving innovation and investment in new technologies.
- M&A Opportunities: Companies looking to enhance their cloud capabilities may consider acquiring smaller cloud service providers or startups specializing in niche cloud solutions. Alibaba's aggressive expansion could lead to potential partnerships or acquisitions to strengthen its position in the global cloud market.

Cybersecurity

- Trend Explanation: As digital transformation accelerates, cybersecurity has become a critical focus for businesses worldwide. The global cybersecurity market is projected to grow from \$217 billion in 2021 to \$345 billion by 2026, at a CAGR of 10.2%.
- Key Companies:
- CrowdStrike Holdings, Inc. (CRWD): CrowdStrike is a leader in cloud-delivered endpoint protection, leveraging AI to detect and respond to cyber threats in

6. Recommended Readings

Deal Name: OpenPayd and Titan Acquisition Corp. Business Combination

- Reading Material: "Fintech Innovation: From Robo-Advisors to Goal Based Investing and Gamification" by Paolo Sironi
- Why This Matters: This book provides a comprehensive overview of the fintech landscape, including the mechanisms of mergers and acquisitions in the sector. Understanding the strategic motivations behind OpenPayd's merger with Titan Acquisition Corp. (TACH) is crucial, as it highlights the importance of financial technology in driving innovation and growth in the financial services industry.

Deal Name: PRISM IPO Filing

- Reading Material: "Initial Public Offerings: A Practical Guide to Going Public" by David Westenberg
- Why This Matters: This resource offers a detailed examination of the IPO process, including regulatory considerations and market dynamics. It is particularly relevant for understanding PRISM's Rs6,650 crore IPO, as it outlines the strategic implications of going public and the

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factors that influence investor sentiment, which are critical for PRISM's growth and capital-raising efforts.

7. MACROECONOMIC UPDATE

Key Data Points:

- European equities year-to-date performance: Up 7-8%
- Consensus earnings growth for Europe this year: Over 16%
- Europe's exposure to Europe as a percent of revenues: 45%
- PE ratio for banks: Approximately 10x

Main Insights:

- European equities are staging a comeback, performing on par with the S&P 500.
- Key sectors driving this performance include semiconductors, tech hardware, and metals/mining, particularly copper.
- Investor interest in Europe is being driven by diversification away from the volatility in AI stocks.
- Despite low economic growth, European equities are expected to perform well due to strong earnings growth and favorable sector dynamics.

Market Commentary:

- "If AI starts to really move up at an aggressive pace... then it's hard for Europe to outperform." - Marina Zavolock
- "As long as oil doesn't spike... that's actually a very good environment for Europe." - Marina Zavolock
- "It actually makes a lot of sense to look at Europe, where we have these discounts, and we have value, and we have growth." - Marina Zavolock

TMT Sector Relevance:

- The performance of European equities is closely linked to the tech sector, particularly in semiconductors and AI-related industries.
- The diversification interest from investors suggests a potential shift in capital flows towards European tech companies, which could benefit from the ongoing AI CapEx boom.
- The favorable earnings outlook for sectors like semiconductors and tech hardware indicates a robust environment for TMT investments in Europe, potentially attracting more M&A activity in the region.

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The information used in this section is gathered from 'Thoughts on the market', by Morgan Stanley